19_Internal_Control_Audit

Document quality

Item	Details
Organization	RAM Governance Portal
Document Title	19_Internal_Control_Audit
Document Code	RAM-PROC-013
Process Area	19_Internal_Control_Audit
Document Type	Procedure
Version	1.0
Effective Date	01 Jan 2026
Review Cycle	Annual
Owner	CFO / CEO
Approved By	CEO / Board
Prepared By	Governance Office
Classification	Internal
Next Review	Jan 2027

Revision History

Version	Date	Author	Changes
1.0	01 Jan 2026	Governance Office	Initial Issue

Distribution List

Department	Access
Board	Full
Management	Full
Departments	Relevant sections

Document Hierarchy

```
Level 1 - Policy
Level 2 - Procedure
Level 3 - Work Instruction
Level 4 - Forms / Templates
```

Contents

19_Internal_Control_Audit 1
1- Policy Statement 3
2- Internal Control Architecture (Three Lines Model) 3
Line 1 – Management Controls 4
Line 2 – Risk & Compliance Oversight 4
Line 3 – Independent Internal Audit 4
3- Work Breakdown Structure (WBS) 4
19.1 Internal Control Framework 5
19.2 Internal Audit Management 5
19.3 Fraud Risk Management 5
19.4 Compliance Monitoring 5
4- SIPOC – Internal Audit Process 5
5- BPMN – Internal Audit Flow 5
6- RACI Matrix – Internal Audit 6
7- Key Internal Controls by Area 6
A. Financial Controls 6
B. Procurement Controls 6
C. HR Controls 7
D. IT Controls 7
8- Fraud Risk Management Framework 7
9- KPI Dashboard – Internal Control & Audit 8
10- SAP / ERP Control Points (If SAP Used) 9
11- Forms & Templates (Standardized Codes) 9
12- Governance Reporting Structure 9
13- Maturity Levels (Control Effectiveness Scale) 9
14- Audit Committee Oversight Responsibilities 10
15- Integration with Other RAM Sections 10
16- Executive Summary 10
Forms and templates 11

1- Policy Statement

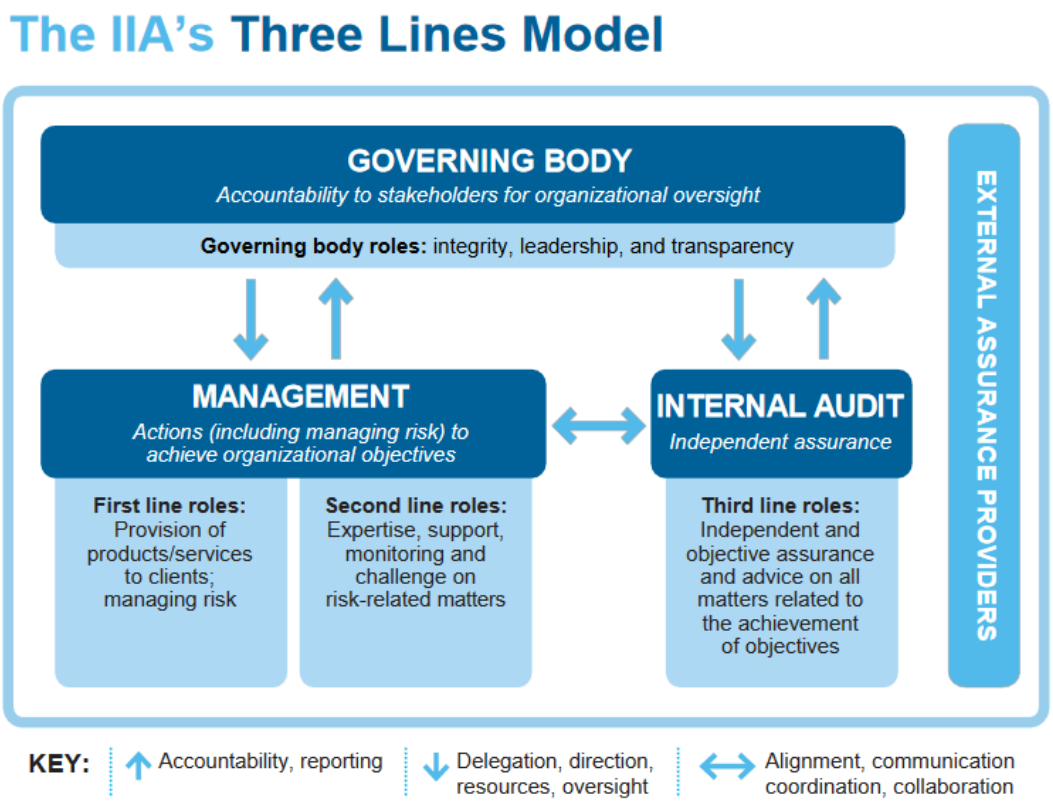
RAM establishes a structured **Internal Control and Audit Framework** to:

- Safeguard assets
- Ensure reliability of financial and operational reporting
- Ensure compliance with laws, regulations, and contracts
- Improve governance and risk management effectiveness
- Detect and prevent fraud, misconduct, and inefficiencies

This framework aligns with:

- Committee of Sponsoring Organizations of the Treadway Commission (COSO Internal Control Framework)
- Institute of Internal Auditors (IIA Standards)
- International Organization for Standardization (ISO 31000 Risk Management principles)

2- Internal Control Architecture (Three Lines Model)



4

Line 1 – Management Controls

- Process owners
- Department heads
- Operational controls
- Financial approvals

Line 2 – Risk & Compliance Oversight

- Risk management function
- Compliance officer
- Data governance
- Quality assurance

Line 3 – Independent Internal Audit

- Internal Audit Function
- Reports directly to Board / Audit Committee
- Provides independent assurance

3- Work Breakdown Structure (WBS)

19.1 Internal Control Framework

- 19.1.1 Control Environment
- 19.1.2 Risk Assessment
- 19.1.3 Control Activities
- 19.1.4 Information & Communication
- 19.1.5 Monitoring Activities

19.2 Internal Audit Management

- 19.2.1 Audit Charter
- 19.2.2 Annual Audit Plan
- 19.2.3 Risk-Based Audit Planning
- 19.2.4 Fieldwork & Testing
- 19.2.5 Reporting & Follow-up

19.3 Fraud Risk Management

- 19.3.1 Fraud Risk Assessment
- 19.3.2 Whistleblowing Mechanism
- 19.3.3 Investigation Protocol
- 19.3.4 Disciplinary Measures

19.4 Compliance Monitoring

- 19.4.1 Regulatory Tracking
- 19.4.2 Contract Compliance Review
- 19.4.3 Policy Adherence Monitoring

4- SIPOC – Internal Audit Process

Supplier	Input	Process	Output	Customer
Board / Audit Committee	Audit Charter	Develop Risk-Based Plan	Approved Audit Plan	Management
Management	Financial & Operational Data	Conduct Audit Fieldwork	Audit Report	Board
Departments	Process Documentation	Control Testing	Findings & Recommendations	CEO
HR / Legal	Policies & Compliance Data	Compliance Review	Compliance Status Report	Regulators

5- BPMN – Internal Audit Flow

```
Start
  ↓
```

```
Annual Risk Assessment
  ↓
Audit Plan Preparation
  ↓
Audit Committee Approval
  ↓
Engagement Planning
  ↓
Fieldwork & Testing
  ↓
Draft Report
  ↓
Management Response
  ↓
Final Report Issued
  ↓
Follow-Up Review
  ↓
Close Audit
End
```

6- RACI Matrix – Internal Audit

Activity	Board	Audit Committee	CEO	Dept Head	Internal Audit
Approve Charter	A	R	C	I	C
Approve Audit Plan	I	A	C	I	R
Conduct Audit	I	I	I	C	R
Respond to Findings	I	I	A	R	C
Follow-Up	I	A	C	R	R

R = Responsible
A = Accountable
C = Consulted
I = Informed

7- Key Internal Controls by Area

A. Financial Controls

- Segregation of duties
- Dual authorization for payments
- Budget variance analysis
- Bank reconciliation review
- Fixed asset register validation

B. Procurement Controls

- Approved vendor list

- Three-quotation policy
- Contract review checklist
- PO approval hierarchy

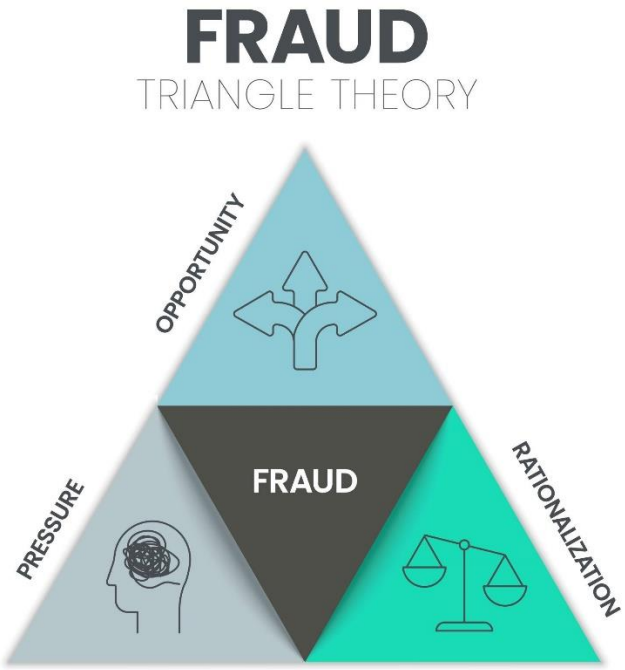
C. HR Controls

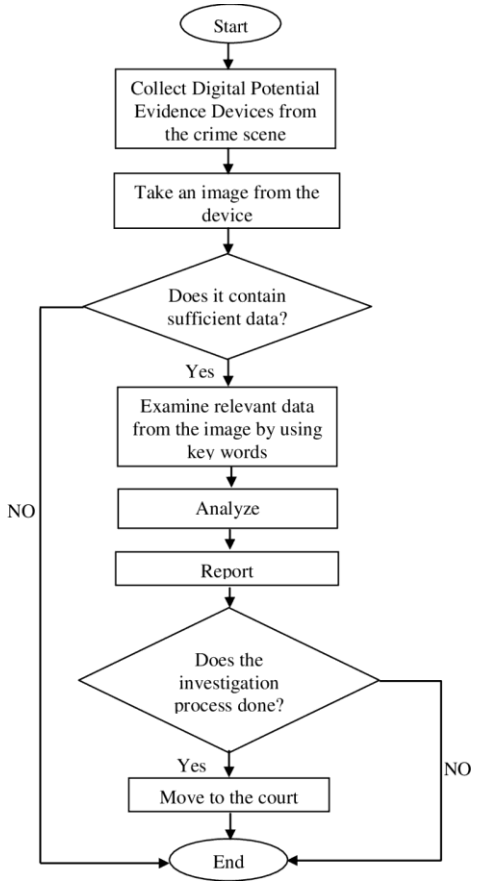
- Payroll reconciliation
- Employment contract verification
- Leave tracking audit
- Access control review

D. IT Controls

- Access rights management
- Backup & disaster recovery testing
- Change management logs
- Data integrity validation

8- Fraud Risk Management Framework





Fraud Triangle Elements:

- Pressure
- Opportunity
- Rationalization

Controls:

- Anonymous reporting channel
- Segregation of duties
- Conflict of interest declaration
- Vendor due diligence
- Surprise audits

9- KPI Dashboard – Internal Control & Audit

KPI	Target
% Audit Plan Completed	≥ 90%
High-Risk Findings Closed	≥ 85% within 60 days
Repeat Findings Rate	< 10%
Fraud Incidents Detected	↓ Year-on-Year
Policy Compliance Rate	≥ 95%

Control Testing Coverage	≥ 80% of Critical Processes

10- SAP / ERP Control Points (If SAP Used)

If RAM uses **SAP SE ERP**, control points include:

- User role authorization matrix
- Workflow approval configuration
- Automated 3-way match (PO–GR–Invoice)
- Audit trail activation
- Exception reporting dashboard

11- Forms & Templates (Standardized Codes)

Code	Form Name
F_19_01	Internal Audit Charter
F_19_02	Annual Audit Plan Template
F_19_03	Risk Assessment Matrix
F_19_04	Audit Program Checklist
F_19_05	Working Papers Template
F_19_06	Audit Report Template
F_19_07	Management Action Plan Tracker
F_19_08	Fraud Incident Report Form
F_19_09	Whistleblower Submission Form
F_19_10	Compliance Monitoring Checklist

12- Governance Reporting Structure

```
Internal Audit → Audit Committee → Board of Directors
        ↓
CEO (administrative coordination only)
```

Internal Audit must remain functionally independent.

13- Maturity Levels (Control Effectiveness Scale)

Level	Description
1 – Ad Hoc	No documented controls
2 – Basic	Controls exist but informal
3 – Defined	Documented and implemented
4 – Managed	Monitored and measured
5 – Optimized	Continuous improvement & automation

14- Audit Committee Oversight Responsibilities

- Approve audit charter
- Review financial statements
- Oversee external audit
- Monitor internal audit independence
- Review risk management framework
- Oversee whistleblowing cases

15- Integration with Other RAM Sections

Internal Control & Audit interacts with:

- 11_Finance_Accounting
- 07_Risk_Compliance
- 08_Master_Data
- 15_IT_Data_Governance
- 13_Procurement_Commercial
- 14_Human_Resources_Interface

16- Executive Summary

The RAM Internal Control & Audit Framework ensures:

- Governance integrity
- Financial transparency
- Operational efficiency
- Regulatory compliance
- Fraud mitigation
- Continuous improvement

Next to do

- Convert this into a **Board-grade visual layered governance diagram**
- Create a **Risk & Control Matrix (RCM) in tabular detailed format**
- Prepare a **Printable Audit Manual (structured PDF-ready version)**
- Or integrate this with your full RAM Process Architecture Master Map**

Forms and templates

19_Internal_Control_Audit

End of document